Adam Smith's "Optimistic Deism," the Invisible Hand of Providence, and the Unhappiness of Nations

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The question of whether Adam Smith subscribed to some version of what I call "optimistic deism" (in short) is one to which there is no agreed answer. For some scholars, following the early lead of T. E. Cliffe Leslie, both *The Theory of Moral Sentiments* and *The Wealth of Nations* are informed by Smith's "theological conception of 'that great, benevolent, and all-wise being . . . who is determined to maintain . . . at all times the greatest possible quantity of happiness'" (Cliffe Leslie 1888, 26).[1] For others, the optimistic deism was either confined to *The Theory of Moral Sentiments*, thus raising the possibility of a fundamental inconsistency between Smith's two major works (Viner 1928; Grampp 1948), or it was merely affected in the earlier work, possibly for rhetorical or prudential

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1. See Denis 2005; Hill 2001; Kleer 1995, 2000; and Taylor 1955. A succinct statement of what I take to be the essence of the optimistic-deism interpretation is given by Richard A. Kleer (2000, 23), who claims that Smith "supposed that some kind of divine being, with the objective of producing the greatest possible quantity of happiness, deliberately implanted the necessary sentiments and propensities in human nature at the time of the creation."

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considerations (Griswold 1999, 332–33, 324–29, 361; Lindgren 1973, 148; Minowitz 1993, 2004). Yet another view is of a severely conflicted Smith who simultaneously believed and disbelieved in optimistic deism, even in *The Theory of Moral Sentiments* (Alvey 2003, 263–64, 267, 289).

One alleged manifestation of Smith's (disputed) belief is the famous "invisible hand/Providence" story in part 4, chapter 1, of *The Theory of Moral Sentiments*, which ends with Smith concluding that "in ease of body and peace of mind, all the different ranks of life are nearly upon a level, and the beggar, who suns himself by the side of the highway, possesses that security which kings are fighting for" (*TMS* IV.I.10, 185). For supporters of an optimistic-deism reading, the invisible hand was evidently a reference to the hand of a divine Providence,[2] which ensures that "real happiness" ("ease of body and peace of mind") is dispensed to all regardless of rank and material wealth, with the "beggar" invoked as a colorful representative of the poor and lowly (Denis 2005, 2).

As others have recognized, however, a major problem for an "optimistic" interpretation is that Smith's account of the effects of "bettering our condition" in *The Theory of Moral Sentiments* (and in *The Wealth of Nations*) tends to suggest that nearly "all the different ranks of life" are *sacrificing* their "real happiness," which, if true, might suggest that Smith really was "conflicted" (Alvey 2003) or that the optimistic deism was merely a rhetorical gloss (Griswold 1999).[3]

I will argue in this essay that there is indeed a direct conflict between the optimistic reading of *The Theory of Moral Sentiments*, and the invisible hand/Providence story in particular, and Smith's account of the consequences of "bettering our condition" (and other aspects of life in "commercial society") in his two major works. I suggest, however, that the apparent optimism of Smith's invisible hand tale was a carefully crafted illusion or deception on his part, obtained by accentuating one, relatively unimportant influence on "bettering our condition" (the fascination with well-crafted devices), by not actually specifying the level of happiness on which "all the different ranks of life are nearly upon," and by disguising the identities of

2. "Smith's invisible hand *was* the hand of a divine providence" (Fitzgibbons 1995, 89; cf. Hill 2001, 22; and Denis 2005, 2). Even commentators such as Peter Minowitz (1993, 114) and István Hont (2005, 91) who are skeptical of Smith's optimistic deism have allowed that the "hand" was represented by him as the appendage of a deistic Providence or God.

3. Other possibilities that have been suggested are that Smith later changed his mind but failed to revise the text of *The Theory of Moral Sentiments* (Fleischacker 2004, 104, 108) and that "happiness" should be redefined (in effect) as "less miserable" (Rasmussen 2006). On Rasmussen's interpretation, see footnote 47.

the beggar and the king at the conclusion of the story. I will argue that if the beggar is identified as Diogenes the Cynic, then the concealed message, that the sustained enjoyment of "real happiness" is restricted mainly to the "wise and virtuous," was anything but optimistic.

As to why Smith should have attempted to conceal his true position, I propose that he was feigning consistency with a "deistic" theme that surfaces at repeated intervals throughout *The Theory of Moral Sentiments*. However, if consistency could be purchased only by *intentional* deception or concealment on Smith's part, then I suggest that the status of the whole deistic apparatus is called into question. Thus, while the interpretation offered here may go some way toward resolving alleged tensions or contradictions in Smith's thought—by suggesting that Smith was consistently pessimistic about the prospects for "real happiness"—it does so by raising other conundrums, not least of which is the sincerity of Smith's commitment to any sort of deism.

The article proceeds as follows. The first section gives a preliminary reading of the invisible hand/Providence story in *The Theory of Moral Sentiments*. I suggest that the argument is set up by Smith in such a way as to positively invite a deistic reading in which the invisible hand and Providence are synonymous allusions to the agency of a benevolent Deity, who has ordained both the propagation and happiness of the human species. To that extent, those who have interpreted the invisible hand/Providence argument as evidence of Smith's optimistic deism could be said to have done so entirely in accordance with Smith's *own* design.

I turn in the second section to the meaning of "real happiness" and document the tension in *The Theory of Moral Sentiments* between the analysis of "bettering our condition" and the attainment of "real happiness" by nearly all in "the different ranks of life," including the character of "prudent man," who is introduced by Smith in the sixth edition of the book.

In the third section I turn to Smith's position on "happiness" in *The Wealth of Nations*. I suggest that the main difference with *The Theory of Moral Sentiments* is that the prospects for most people of gaining "real happiness" are presented as even more remote.

In the fourth section I return to the invisible hand/Providence story. By this stage an optimistic reading would raise acute problems of inconsistency, both within *The Theory of Moral Sentiments* and with *The Wealth of Nations*. But, as I argue, the optimism may be attributed to well-crafted ambiguity and subterfuge, undertaken to encourage a deistic reading of the text that did not reflect Smith's own convictions.

In the final section I summarize the main argument of the article and offer concluding observations.

On Providence and the Invisible Hand in *The Theory of Moral Sentiments*: An "Optimistic" Reading

The references in *The Theory of Moral Sentiments* to Providence and the invisible hand are in chapter 1 of part 4, "Of the Effect of Utility upon the Sentiment of Approbation," in which Smith proclaims his insight that the "happy contrivance of any production of art [is] often more valued, than the very end for which it was intended" (*TMS* IV.I.3, 179). To take the example of watches, their sole end ("utility," as Smith uses the term) is time-keeping, yet watches are said to be desired more for their "perfection" (aesthetic qualities) as a piece of machinery (or "system"). "Nor," Smith pronounces, "is it only with regard to . . . frivolous objects that our conduct is influenced by this principle; it is often the secret motive of the most serious and important pursuits of both private and public life" (*TMS* IV.I.7, 181).[4]

As an example of a more "serious and important" influence, we are then introduced to a "poor man's son" who, believing that riches will confer "happiness and tranquillity" (*TMS* IV.I.8, 181), sacrifices his *own* happiness and tranquillity in order to attain them, only to discover "in the last dregs of life" that "wealth and greatness are mere trinkets of frivolous utility, no more adapted for procuring ease of body or tranquillity of mind[5] than the tweezer-cases of the lover of toys" (181). Having realized that the trappings of wealth "can afford him no real satisfaction," he at last sees power and riches for what they really are:

> enormous and operose machines contrived to produce a few trifling conveniences to the body, consisting of springs the most nice and delicate, which must be kept in order with the most anxious attention. . . . They are immense fabrics, which it requires the labour of a life to raise, which threaten every moment to overwhelm the person that dwells in them. . . .

4. The "principle" of our attraction to "systems" or "machines" for their own intrinsic properties, rather than their "utility" qua "ends" they are designed to promote, was a favorite Smithian theme, dating back (in print) to his *Essays on Philosophical Subjects* (see Smith 1980, 45–46, 66).

5. Ease of body and tranquillity (or peace) of mind correspond to Smith's conception of "real happiness," discussed further in the following section.

> They keep off the summer shower, not the winter storm, but leave him always as much, and sometimes more exposed than before, to anxiety, to fear, and to sorrow; to diseases, to danger, and to death. (182–83)

It would seem that the mistake had been to confound the "beauty" of the elements of wealth with the happiness that their possession would confer. But that is not quite the whole explanation.

Having described the poor man's son's "ambition" in terms of the "principle" of infatuation with "the exact adjustment of the means for attaining any conveniency or pleasure," Smith introduces "vanity," if only briefly, to explain why some "means" are preferred to others. On this account, "the palaces, the gardens, the equipage, the retinue of the great," are more "reasonable subjects of vanity" than "a tooth-pick [or] a machine for cutting the nails" because they "more effectually gratify that love of distinction so natural to man" (182). However, perhaps to dispel any suspicion that social distinction is itself the object of vanity and ambition, independently of the imagined happiness from the material "subjects of vanity," a "spectator" fleetingly appears to assure us that the condition of the rich and great is admired "upon account . . . of the numberless artificial and elegant contrivances [they possess] for promoting . . . ease or pleasure." This "spectator" does not imagine that the rich and great "are really happier than other people"; rather, they only "possess more means of happiness" (182).[6] Unfortunately, not least for the poor man's son, the spectator's "abstract and philosophical" view of wealth is rarely adopted (by nonphilosophers) except in "time of sickness or low spirits." In "better health and in better humour," we are duped by our admiration of "artificial and elegant contrivances" into thinking that the "pleasures of wealth and greatness [are] something grand and beautiful and noble, of which the attainment is well worth all the toil and anxiety which we are apt to bestow upon it" (*TMS* IV.I.9, 183). Smith continued:

> And it is well that nature imposes on us in this manner. It is this deception which rouses and keeps in continual motion the industry of mankind. It is this which first prompted them to cultivate the ground,

6. The philosophically informed spectator would *not* imagine "that they possess more means of happiness" in the sense of *real* happiness (see below). Smith corrects himself in the sentence immediately following: "And it is the ingenious and artful adjustment of those means to the end for which they ["the numberless artificial and elegant contrivances"] were intended, that is the principal source of his admiration." The quality of being "admirable" to a detached spectator is not the same as being a source of "real happiness."

> to build houses, to found cities and commonwealths, and to invent and improve all the sciences and arts, which ennoble and embellish human life; which have entirely changed the whole face of the globe, have turned the rude forests of nature into agreeable and fertile plains. . . . The earth by these labours of mankind has been obliged to redouble her natural fertility, and to maintain a greater multitude of inhabitants. (*TMS* IV.I.10, 183–84)

So, "nature" has purposefully implanted the "deception" that "wealth and greatness" bring happiness in order to stimulate industry and provide for an expanding population; and the mechanism by which the trick is worked involves a conflation of the happiness from wealth and greatness with the aesthetic appeal of the "system" or manner of living (material possessions, domestic arrangements, and so forth) of the rich and great.

Having dispatched the poor man's son to his twilight years of misery and remorse, Smith introduces a new character, "the proud and unfeeling landlord" (184). "It is to no purpose," Smith declares, that this (as described) loathsome individual "views his extensive fields, and without a thought for the wants of his brethren, in imagination consumes himself the whole harvest that grows upon them":

> The capacity of his stomach bears no proportion to the immensity of his desires, and will receive no more than that of the meanest peasant. The rest he is obliged to distribute among those, who prepare, in the nicest manner, that little which he himself makes use of, among those who fit up the palace in which this little is to be consumed, among those who provide and keep in order all the different baubles and trinkets, which are employed in the oeconomy of greatness; all of whom thus derive from his luxury and caprice, that share of the necessaries of life, which they would in vain have expected from his humanity or his justice. (184)

It is unclear if the landlord is motivated by the same deception that beguiled the poor man's son, although consistency within the chapter would seem to require that he is. We are told merely that he, and his class, exhibit "selfishness and rapacity," they "mean only their own conveniency," and "the sole end which they propose [is] the gratification of their own vain and insatiable desires" (184). It is not so much the motive as the consequence of their behavior that Smith stresses:

> The rich . . . divide with the poor the produce of all their improvements. They are led by an invisible hand to make nearly the same distribution of the necessaries of life, which would have been made, had the earth

> been divided into equal portions among all its inhabitants, and thus without intending it, without knowing it, advance the interest of the society, and afford means to the multiplication of the species. (184–85)[7]

The landlords' wealth derives from the produce of their land. They make "improvements" not with a nonsensical desire to consume more of the increased produce of their land themselves,[8] nor with a philanthropic urge to feed the poor and "afford means to the multiplication of the species," but to indulge their "vain and insatiable desires" for "artificial and elegant contrivances." The only way they *can* satisfy their desires is by distributing "the necessaries of life" to the poor who maintain and supply the "contrivances."

Had Smith concluded on the point about the provision of necessaries he would have produced an argument that anticipated the one he developed in *The Wealth of Nations* (cf. Winch 1978, 92), the principal difference being that the earlier version in *The Theory of Moral Sentiments* linked the benefits to the poor with the luxury consumption of the rich, whereas *The Wealth of Nations* version linked them with the investment decisions of rich merchants.[9] But Smith did not conclude at this point.[10] He continued:

7. This argument may be read as a response to Rousseau ([1755] 1973, 88, 105, 107), who had suggested that the rich consume *at the expense* of the poor; but, if the quest for riches leads to an *expansion* of (agricultural) production, as Smith contends, then *all* classes can, in principle, maintain and even increase their material consumption. On this, see Hont and Ignatieff 1983, 10–11; Winch 1996, 63, 72; and Hont 2005, 91.

8. As suggested by J. Ronnie Davis (1990, 347–48) and William D. Grampp (2000, 462–63).

9. See *WN* IV.ii.9, 456. The argument in *The Wealth of Nations* rests on three propositions, restated throughout the book: (1) the owners of capital stock (preeminently the merchants) seek to obtain the highest possible (net) rate of profit after allowing for risk; (2) for a given capital, the activity yielding the highest rate of profit also generates the highest possible net revenue (profit) *and* the highest possible gross revenue; and (3) activities yielding the highest rate of profit also provide the greatest possible demand for domestic labor (see *WN* II.iii.17, 337; II.iii.20, 339; II.v; IV.vii.c.35, 600–601; IV.vii.c.49, 608; IV.vii.c.57, 611; IV.vii.c.86, 628–29). Faced with a choice "upon nearly or nearly equal [expected] profits" between inventing a given capital domestically or in foreign trade, merchants will choose the former because of lower risk; and, in choosing the domestic investment that yields the highest rate of profit, they will generate the greatest possible gross revenue (i.e., the greatest addition to the "annual revenue of the society") *and* the greatest possible demand and support for domestic labor. It is therefore the merchants, "the leaders and conductors of the whole industry of every nation" (*WN* IV.vii.c.61, 612), who displace the landlords as the major *direct* providers of "the necessaries of life" in the "commercial economy" described by Smith in *The Wealth of Nations*; it is *they* who are led by a consideration of their own private interest to "advance the interest of the society, and afford means to the multiplication of the species." Cf. Persky 1989.

10. Although he is sometimes interpreted as if he had: Hont and Ignatieff 1983, 11, 13; Hamowy 1987, 18; Hundert 1994, 223; Griswold 1999, 225; Fleischacker 2004, 207; Kennedy 2009a, 2009b.

> When Providence divided the earth among a few lordly masters, it neither forgot nor abandoned those who seemed to have been left out in the partition. These last too enjoy their share of all that it produces. In what constitutes the real happiness of human life, they are in no respect inferior to those who would seem so much above them. In ease of body and peace of mind, all the different ranks of life are nearly upon a level, and the beggar, who suns himself by the side of the highway, possesses that security which kings are fighting for. (*TMS* IV.I.10, 185)

Here the argument shifts from the distribution of "necessaries" to the providential dispensation of "the real happiness of human life," as associated (in the sentence immediately following) with "ease of body and peace of mind." But what level of "real happiness" are all the "different ranks . . . nearly upon"? And why, suddenly, are we invited to ponder a comparison between a seemingly contented beggar and insecure monarchs?

Smith does not answer those questions explicitly. It is as if readers are invited to place their own construction on his pronouncement: they can put the "level" almost anywhere they wish. Admittedly, some candidates for "real happiness" have been ruled out, among them the poor man's son and insecure kings, but the possibility appears to have been left open that many others, including the poor who supply and maintain "contrivances," may enjoy the "real happiness" of the carefree beggar.

"And it is well," one might say, that *Smith* "imposes on us in this manner," because he can thereby intimate a connection with a theme that runs throughout *The Theory of Moral Sentiments*: the consistency of human behavior with the plan, or "system," of a benevolent Deity.[11]

The references to the invisible hand and Providence are in consecutive sentences, suggesting that they were intended to be read (and certainly have been read)[12] as synonymous allusions to the same entity, one that has as its objective "the multiplication of the species" and "the real happiness of human life." It requires no forensic skill to uncover the identity of such an entity in *The Theory of Moral Sentiments*: it is "the Deity," the "Author" and "great Director of the universe," the "Great Judge of Hearts" and "all-seeing Judge of the world," "God," who has ordained both the "great ends" (including "self-preservation," "the propagation of the species," and, most

11. It is of course this very theme that forms the basis for the optimistic-deism interpretations. I do not doubt that textual evidence for the interpretations exists, but I do question if it can be taken at face value.

12. See footnote 2.

notably, "the happiness of Mankind")[13] and the means of achieving those ends (people acting in accordance with implanted passions, affections, and sentiments).[14] The invisible hand/Providence argument in IV.I chimes harmoniously with the same deistic refrains that are heard throughout the book. To that extent, there would seem to be no mystery at all about the owner of the hand, or the designer of Providence, since we are repeatedly encouraged to believe that everything is purposively set in motion by a wise and benevolent Deity. Who else could the hand belong to? Who else can direct Providence?

Smith had crafted a seductive (if not entirely original)[15] story which may *seem* to suggest that the "invisible hand" of a deistic "Providence" dispenses "real happiness" ("ease of body and peace of mind" or "tranquillity of mind") to all in "the different ranks," including the lowly beggar. In the following section I consider more closely Smith's conception of "real happiness" and assess the extent to which the optimistic reading of the invisible hand/Providence story is borne out elsewhere in *The Theory of Moral Sentiments.*

Real Happiness and "Bettering Our Condition"

The identification of "real happiness" with "ease of body and peace of mind" (or "tranquillity of mind") had an Epicurean ring to it, unsurprisingly because Smith attributes the aphorism to Epicurus in the final section of *The Theory of Moral Sentiments*, "Of Systems of Moral Philosophy" (*TMS* VII.ii.2.7). In opposition to Epicurus, however, Smith followed Francis Hutcheson (1755, 1:23–24, 148) in maintaining that "real happiness" cannot be reduced to a metric of (bodily) pleasure and pain (*TMS* VII.ii.2.13–17). Rather, as many commentators have recognized,[16] it is on

13. See II.iii.3.2, 105–6; III.5.7, 166; III.5.9, 167–68.

14. In addition to the references given in the previous footnote, see also *TMS* II.1.5.10, 77–78; II.ii.3.4, 86; II.iii.intro.6, 93; VI.iii.30, 252–53.

15. He had presented, in essence, a prose alternative to the vision elaborated by his favorite poet, Alexander Pope, according to whom "the hand" of the "Disposing Power," or "Providence," ensures that "the balance of happiness among mankind is kept even" not merely in spite of but, as in Smith's tale, because of the behavior of the rich, whose "charitable vanity" feeds and clothes the poor (see Pope's *Essay on Man* I.v, I.vi, I.x, and the argument for Epistle IV; and the *Epistle to Richard Boyle, Earl of Burlington*, lines 151–73). Smith described Pope as "much the most correct, as well as the most elegant and harmonious of all the English poets" (*TMS* III.2.19, 123). It was said that he "had by heart many favourite passages" from Pope's work ("Amicus" [1791] 1983, 230).

16. For example, Brown (1994, 90), Griswold (1999, 125, 218, 224, 321–22), Rasmussen (2006, 210), and Winch (1996, 63, 73–74, 239–40).

Smith's usage a lightly modified Stoic conception of happiness,[17] with the far greater emphasis placed on the second of the two components, peace and tranquillity of mind.[18]

The inclusion of "ease of body" marked a departure from received Stoic teaching, perhaps suggested to Smith from his reading of Cicero.[19] Nevertheless, having allowed that food, clothing, and shelter *are* required for "real happiness" (they are the material conditions for "ease of body"), Smith takes the Stoic line[20] that these "necessities of nature" can be supplied adequately even by the "wages of the meanest labourer" (*TMS* I.iii.2.1, 50).[21] "Real happiness" does not increase with material consumption in excess of those "necessities."[22]

We are left with the second and, on Smith's (and the Stoics') account, by far the more important component of "real happiness": peace and tranquillity of mind. Tranquillity (for short) is a state of mind, but to count as "perfect" or "real" tranquillity—as Smith attempts to differentiate the *kind* of tranquillity required for "real happiness"[23]—it must be associated with virtuous behavior and, ideally, with the *active* pursuit of virtue, the stress on activity marking a second (presumed) departure from Stoic doctrine.[24]

17. Smith would have been introduced to Stoic philosophy, if not before, in Hutcheson's thrice-weekly lectures "in which some of the finest writers of antiquity, both Greek and Latin, on the subjects of Morals, were interpreted" (Leechman 1755, xxxvi).

18. In this regard Smith did *not* follow Hutcheson in the latter's attempt to equate happiness with bodily *and* mental pleasures of varying degrees of intensity, duration, and "dignity" (Hutcheson 1755, 1:100–120), although he (Smith) did introduce pleasure/pain mechanisms to explain the attraction of behavior conducive to "tranquillity" (see below).

19. Cicero (1971, 92–93) in the *Discussions at Tusculum* says the following: "I am prepared to agree . . . that we may enlarge our idea of what is good [on which happiness depends] to include three categories. . . . Let us accept, then, the possibility of this threefold division. But on this condition only: that two of the three categories, the good things of the body and the good things which are external and accidental, are kept nailed right down to the ground and only allowed to be classified as good at all because they are 'preferable,' whereas the third type of good, the morally good, is of a higher status altogether." In effect, Smith amalgamated the first two of these three categories.

20. "Nature herself teaches us every day how few, and how small, and how inexpensive, her requirements are" (Cicero [1971, 106], *Discussions at Tusculum*); "How little is needed to support a man! . . . The body's needs are few: it wants to be free from cold, to banish hunger and thirst with nourishment" (Seneca [2005, 14], *Consolation to Helvia*).

21. The same point is reiterated by Smith in the sixth edition of *The Theory of Moral Sentiments*: "All the necessities and conveniences of the body . . . are always very easily supplied" (VI.i.3, 213).

22. See *TMS* 1.iii.1.7, 45, 181; III.3.31, 149–50.

23. See *TMS* III.3.31, 150, and IV.1.8, 181, respectively.

24. Smith accused Stoic philosophy of advocating "perfect apathy" by "render[ing] us altogether indifferent and unconcerned in the success or miscarriage of every thing which

But what is the mechanism by which virtuous action produces tranquillity and "real happiness"? It was in answer to that question, with the introduction of the "impartial spectator," that Smith proposed his contribution to the understanding of "moral sentiments," the idea being that (some) moral agents derive their tranquillity from behavior that attracts the "applause" or "approbation" of real or, at a more sophisticated level, of idealized and impartial "spectators" ("judges") of their conduct.

There is also a complex role for the influence of pleasure and displeasure (pain) in guiding (some) agents toward virtuous behavior.[25] In seeking the origin of our "first perceptions of right and wrong," it is the "immediate sense and feeling" of pleasure and pain that make virtue "desirable for its own sake" and vice "the object of aversion" (*TMS* VII.iii.2.7–8, 320). These primary sensations or feelings of pleasure and pain would dispose us toward virtuous behavior, but that is only the first step. Subsequently, we employ inductive reasoning by observing "what pleases or displeases our moral faculties," thereby enabling the formation of "general rules" (*TMS* VII.iii.2.6, 319). But, it is not only our own internally generated feelings that are (or may become) relevant at the "reasoning" stage; there is the secondary and distinct source of pleasure and pain arising from the approbation or disapprobation of real and imagined spectators of our conduct.[26] It is those secondary sensations, and the use of reason to interrogate our behavior from the standpoint of the impartial spectator, that can (in principle) result in truly virtuous behavior.

It could appear that "real happiness" is the sum of primary and secondary pleasures arising from virtue itself and from approbation. But, the defining quality of "real happiness" is the "tranquillity of mind" resulting from (and only from) virtuous behavior: the two mechanisms of pleasure

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Nature has prescribed to us as the proper business and occupation of our lives" (*TMS* VII.ii.1.46–7, 292–93). His own position was this: "Man was made for action, and to promote by the exertion of his faculties such changes in the external circumstances both of himself and others, as may seem most favourable to the happiness of all. He must not be satisfied with indolent benevolence, nor fancy himself the friend of mankind, because in his heart he wishes well to the prosperity of the world" (*TMS* II.iii.3.3, 106). Whether Smith's charge of "apathy" is justified may be doubted. It would not apply to Marcus Aurelius (1998) (*Meditations* VII.lxix, p. 66; IX.xvi, p. 84); and, according to Diogenes Laertius (2007), "there are three kinds of lives: the contemplative, the practical, and the rational. They [the ancient Stoics] say that the last is the one which ought to be chosen. For a logical, that is a rational, animal was made by nature on purpose for speculation *and action*" (*Lives* 7.130, p. 89; my italics).

25. This may have misled commentators into crediting Smith with a subjective, utilitarian conception of happiness, as with Lisa Hill (2001, 11).

26. See *TMS* III.2.4–5, 114–16; III.2.15, 122, 128–29n.

and pain may guide us toward tranquillity but they are only means to that end. We could say, in sum, that "real happiness" requires the satisfaction of three conditions: provision of basic necessities, virtuous behavior, and tranquillity (a state of mind) deriving from merited "applause" (applause of, and only of, virtuous behavior).

But what do people actually pursue in their lives? Is it the "real happiness" that can be found, we are assured, "in all the ordinary situations of human life" (*TMS* III.3.31, 149)? Judging from the tragedy of the poor man's son, who industriously sacrificed "a real tranquillity that is at all times in his power," it would seem that some people are lured in a different direction. If we look beyond IV.I, it turns out to be most people who are similarly afflicted.

To "what purpose is all the toil and bustle of this world? what is the end of avarice and ambition, of the pursuit of wealth, of power, and preheminence? . . . What are the advantages which we propose by that great purpose of human life which we call bettering our condition?" Smith asks in I.iii.2, "Of the Origin of Ambition, and of the Distinction of Ranks" (p. 50). We know that the answer is not to obtain the easily supplied "necessities of nature." Rather,

> to be observed, to be attended to, to be taken notice of with sympathy, complacency, and approbation, are all the advantages which we can propose to derive from it. It is the vanity, not the ease, or the pleasure, which interests us. But vanity is always founded upon the belief of our being the object of attention and approbation. The rich man glories in his riches, because he feels that they naturally draw upon him the attention of the world . . . and if his behaviour is not altogether absurd, he has, every moment, an opportunity of interesting mankind, and of rendering himself the object of the observation and fellow-feeling of every body about him. (*TMS* I.iii.2.1, 50–51)[27]

"Bettering our condition" is motivated as virtuous behavior is, by seeking pleasure from approbation, or applause, although in this case the approba-

27. Cf. Mandeville [1924] 1988b, 64: "The true Object of Pride or Vain-glory is the Opinion of others; and the most superlative Wish, which a man possess'd, and entirely fill'd with it can make, is, that he may be well thought of, applauded, and admired by the whole World." Also Hume ([1739] 1888, 365): "The possessor has . . . a . . . satisfaction in riches arising from the love and esteem he acquires by them. . . . This . . . satisfaction or vanity becomes one of the principal recommendations of riches, and is the chief reason, why we either desire them for ourselves, or esteem them in others."

tion is for riches and social status. But, it is not only the "rich man" who seeks, and receives, "groundless applause" (*TMS* III.2.4, 115).[28] The desire for "sympathy, complacency, and approbation" from the acquisition of material possessions—vanity, in a word—runs through "*all* the different ranks of men" (*TMS* I.iii.2.1, 50; my italics). On the same theme,

> rank, distinction, pre-eminence, *no man* despises, unless he is either raised very much above, or sunk very much below, the ordinary standard of human nature; unless he is either so confirmed in wisdom and real philosophy, as to be satisfied that, while the propriety of his conduct renders him the just object of approbation, it is of little consequence though he be neither attended to, nor approved of; or so habituated to the idea of his own meanness, so sunk in slothful and sottish indifference, as entirely to have forgot the desire, and almost the very wish, for superiority. (*TMS* I.iii.2.8, 57; my italics)

With few exceptions, we are *all* similarly motivated to acquire "superfluities" in order to achieve rank, distinction, and "approbation"; this is the "great purpose of human life which we call bettering our condition." But, what are the consequences for our "real happiness" of living in a society in which "bettering our condition" with the desire for social status and "the frivolous pleasures of vanity and superiority" is, as Smith bemoaned, "the end of half the labours of human life" (*TMS* III.3.31, 150; I.iii.2.8, 57)?

The answer is not heartening. Anxiety about material status, and the toil and anxiety incurred in its pursuit, are socially endemic. The poor man "is ashamed of his poverty" because he feels, accurately, that the rest of society has "scarce any fellow-feeling with the misery and distress which he suffers": misery and distress that are *intensified* by his low social status (*TMS* I.iii.2.2, 51). The poor man's son does succeed in changing his social status but sacrifices his "real happiness" in the process. He is not alone. We are all apt to bestow "toil and anxiety" on the pursuit of wealth and status, and to be anxious about becoming the "proper objects" of respect by acquiring "the advantages of external fortune" (*TMS* IV.1.9, 183; VI.i.3, 212–13). But, by overrating "the difference between poverty and riches," we make ourselves "miserable" in our "actual situation," while the vanity that fuels our material acquisitiveness leaves us feeling "constantly dissatisfied" (*TMS* III.3.31, 149; VI.iii.51, 261). Even if we achieve "wealth and greatness," what may await us is the grim realization that we are

28. Smith evidently means *morally* groundless applause.

"always as much, and sometimes more exposed than before, to anxiety, to fear, and to sorrow; to diseases, to danger, and to death" (*TMS* IV.1.8, 183), not to mention "shame from the remembrance of our own folly, or . . . remorse from the horror of our own injustice" (*TMS* III.3.31, 149), depending on whether we have reached our position by "fair" means or foul.[29] Only those who are "confirmed in wisdom and real philosophy"[30] or "sunk in slothful and sottish indifference" are exempt from these anxieties.[31]

Anxiety is the antinomy of tranquillity.[32] Both are mental states, but experiencing one state implies the absence of the other: our state of mind cannot be anxious *and* tranquil. Hence the Stoic position, which Smith appears broadly to endorse, that anxiety over "externals," of which material wealth and social status are prime examples, is inimical to "real happiness" and symptomatic of a failure to grasp what "real happiness" actually is. Even if we behave "well," we may not experience the tranquillity of "real happiness" if our minds are racked by anxiety over social status, by the efforts involved in the pursuit of wealth and status, and by the additional toils and worries were we ever to achieve our ambitions.

There remains one character, however, who *might* be a candidate for "real happiness" along with the "wise and virtuous," and that is "prudent man."

Several characteristics of prudent man are anticipated in earlier editions of *The Theory of Moral Sentiments*,[33] but it is only in the sixth edition, published fourteen years after *The Wealth of Nations*, that he emerges fully fledged, seemingly as a distinctive social character. His "strongest" desire and "anxiety" is to become an "object of respect" by obtaining "the advantages of fortune," and, like others in "the bulk of mankind," he

29. "Fair means" require abstention from "hurting our neighbour" (*TMS* II.ii.2.1, 82). The poor man's son appears to have acted "fairly" in this sense.

30. As Smith lamented in the sixth edition of *The Theory of Moral Sentiments*, it is only "the wise and the virtuous chiefly, a select, though, I am afraid, but a small party, who are the real and steady admirers of wisdom and virtue. The great mob of mankind are the admirers and worshippers and, what may seem more extraordinary, most frequently the disinterested admirers and worshipers, of wealth and greatness" (I.iii.3.2, 62).

31. Hutcheson also had been harsh on the misery and anxiety resulting from the "wrong estimation" of the happiness from wealth and status (Hutcheson 1755, 1:104–7, 112, 136, 163, 136, 163–64; 2:112–13, 378–79); but, unlike Smith, who universalized the misery, there is some indication that Hutcheson believed the poor were mercifully unaffected (1:197)—an opinion he would have shared (ironically, given their antagonistic relationship) with Mandeville (see Mandeville [1924] 1988c, 287–88, 308, 315–16).

32. Or, as Griswold (1999, 220) puts it, "the enemy of tranquillity is anxiety."

33. See *TMS* I.iii.2.5, 55; IV.2.1, 187; IV.2.8, 189–90; VII.ii.3.15, 304.

apparently cultivates "decent" behavior not so much because he values ("inferior")[34] virtue for its own sake, but because he learns that his social "rank and credit" depend on others' perceptions of his "character and conduct" (*TMS* VI.i.3–5, 212–13).[35] Unlike the poor man's son, however, his desire for external fortune is *relatively* modest: in the "race for wealth, and honours, and preferments," he fortuitously knows when to pull out. Hence,

> he is enabled gradually to relax, both in the rigour of his parsimony and in the severity of his application; and he feels with double satisfaction this gradual increase of ease and enjoyment, from having felt before the hardship which attended the want of them. He has no anxiety to change so comfortable a situation, and does not go in quest of new enterprises and adventures, which might endanger, but could not well increase, the secure tranquillity which he actually enjoys. (*TMS* VI.i.12, 215)

The reference to "secure tranquillity" may suggest that prudent man has indeed come to enjoy "real happiness," if only in his retirement.

In addition, we are told that in "the steadiness" of prudent man's "industry and frugality," in his "steadily sacrificing the ease and enjoyment of the present moment for the probable expectation of the still greater ease and enjoyment of a more distant but more lasting period of time, the prudent man is always both supported and rewarded *by the entire approbation of the impartial spectator, and of the representative of the impartial spectator, the man within the breast*" (*TMS* VI.1.11, 215; my italics). At face value, the italicized lines may strongly suggest that prudent man is a candidate for "real happiness."[36] But who is the "impartial spectator" in this context? Smith continues his encomium:

> The impartial spectator does not feel himself worn out by the present labour of those whose conduct he surveys; nor does he feel himself solicited by the importunate calls of their present appetites. To him their present, and what is likely to be their future situation, are very

34. The "inferior" virtues include "prudence, vigilance, circumspection, temperance, constancy, firmness" (*TMS* VII.ii.3.15, 304).

35. "Decent" behavior on the part of "the bulk of mankind" is also promoted by "discipline, education, and example," and especially by "a sacred regard to general rules" of morality instilled by fear of "the punishment of God"; such behavior may be cultivated in people who "never felt the sentiment upon the propriety of which we found our approbation of their conduct," i.e., regard to the sentiments of an impartial spectator (*TMS* III.5.1–3, 161–63; III.5.12, 170).

36. Leaving aside the unanswered question of how he can reconcile tranquillity with anxiety at the preretirement stage of his life.

> nearly the same: he sees them nearly at the same distance, and is affected by them very nearly in the same manner. He knows, however, that to the persons principally concerned, they are very far from being the same, and that they naturally affect *them* in a very different manner. He cannot therefore but approve, and even applaud, that proper exertion of self-command, which enables them to act as if their present and their future situation affected them nearly in the same manner in which they affect him. (215)

In whoever's breast *this* impartial spectator may reside, it is not that of prudent man's. Instead, we are presented with a philosophically informed spectator who knows, unlike prudent man, that "real happiness" does not depend on external fortune, but who is condescendingly prepared to indulge behavior that does not run to extremes.

Prudent man is therefore receiving *external* applause for being only moderately deluded about the advantages of external fortune, while being unaware that he is deluded at all (for him, his present and likely future situations "are very far from being the same").[37] But this is applause to which he would be deaf. As for his "secure tranquillity," this seems to owe more to his "relaxation" than to his own spectator's pleasing consciousness of merited applause. After all, what applause would be merited for behavior that Smith later pronounces to have been neither particularly "endearing" nor "ennobling" (*TMS* VI.I.14, 216)?[38] As a candidate for "real happiness," prudent man is something of a disappointment.

It could seem that we are left with a straightforward contradiction between the optimistic Smith of IV.I, who held out the prospect of providentially bestowed "real happiness" to virtually everyone, and the pessimistic Smith who cast doubt on whether it could be enjoyed except by a small minority. In the following section I consider briefly if *The Wealth of Nations* might suggest a more harmonious outcome.

Happiness in *The Wealth of Nations*

According to Smith, there is one way in which the "greater part" of a "commercial society" (i.e., the laborers) *can* be made "happier," to an

37. Contrary to Griswold (1999, 204), it is not the case that "prudent man" views "present and future pleasures" as carrying "the same weight."

38. It is difficult to fathom Griswold's (1999, 205) assessment that there "is nothing in him [prudent man] an impartial spectator could object to, and much to praise."

extent, and that is by an increase in their consumption of "necessaries" relative to the "sacrifice" of ease, liberty, and happiness that they must make in order to acquire them.[39] Indeed, one of the principal advantages of Smith's "system of natural liberty" is that it would generate the greatest possible demand for domestic labor,[40] so providing the conditions for an increasing "real price of labour": a society may in this sense be "flourishing and happy"[41] because "the great body of the people," the laborers, thereby receive "such a share of the produce of their own labour as to be themselves tolerably well fed, cloathed and lodged" (*WN* I.viii.36, 96).[42] However, as Smith reminds us in *The Wealth of Nations*, "happiness and misery, which reside altogether in the mind, must necessarily depend more upon the healthful or unhealthful, the mutilated or entire state of the mind, than upon that of the body" (*WN* V.i.f.60, 787). Food, clothing, and lodging may well contribute to "ease of body," but, in keeping with Smith's emphasis in *The Theory of Moral Sentiments,* it is peace and tranquillity of mind on which our "real happiness" mostly depends, and in this regard *The Wealth of Nations* is no more "optimistic" than the *Moral Sentiments*. Indeed, it is even less so.

The "great purpose of human life which we call bettering our condition," as Smith put it in *The Theory of Moral Sentiments,* is the driving force of economic activity. As emphasized in *The Wealth of Nations,* however, capital accumulation and growth in national wealth depend on the manner in which agents pursue their objective: if the economy is to grow, they must save at least part of their revenue in order to finance new investment. How can we be sure that they will do so? Smith has the answer:

> The principle which prompts to save, is the desire of bettering our condition, a desire which, though generally calm and dispassionate, comes with us from the womb, and never leaves us till we go into the grave. In the whole interval which separates those two moments, there is scarce perhaps a single instant in which any man is so perfectly and completely satisfied with his situation, as to be without any wish of alteration and

39. As discussed in Peach 2010.

40. See footnote 9.

41. It is *not* "flourishing and happy" in the sense in which those adjectives are applied in *The Theory of Moral Sentiments* to a society where "the necessary assistance is reciprocally afforded [to individuals] from love, from gratitude, from friendship, and esteem" (*TMS* II.ii.3.1, 85).

42. See also I.vii.43, 99; I.xi.p.9, 266.

> improvement, of any kind. An augmentation of fortune is the means by which the greater part of men propose and wish to better their condition. It is the means the most vulgar and the most obvious; and the most likely way of augmenting their fortune, is to save and accumulate some part of what they acquire. (*WN* II.iii.28, 341–42)

"Bettering our condition" is identified with an insatiable, unceasing, and pervasive desire to increase future consumption and wealth in order to be *seen* as richer (hence, "the means the most vulgar and the most obvious"): a desire that necessarily involves saving ("frugality") rather than the dissipation of revenue on immediate consumption.[43]

The principal difference with *The Theory of Moral Sentiments* lies in the greater emphasis in *The Wealth of Nations* on "bettering our condition" through saving. Yet, in other respects the motivational landscape is familiar. Wealth is *unceasingly* pursued by individuals at any stage of a country's development mainly out of vanity, emulation, and a desire for social status and respectability.[44] But these are precisely the influences that Smith had identified in *The Theory of Moral Sentiments* as corrosive of people's "tranquillity" and therefore destructive of their "real happiness." There seems no reason to believe that the characters of *The Wealth of Nations* should escape the same fate.

In fact, there is strong reason to believe that many of them will fare considerably worse. For as Smith came increasingly to appreciate by the time he wrote *The Wealth of Nations,* the barrier to "real happiness" in a commercial society was by no means confined to anxiety over material possessions and social status.[45] The "temptations of bad company" in "large manufacturies," the effects of specialization from the division

43. See also *WN* II.iii.31; II.iii.36; IV.v.b.43. Cf. Mandeville's ([1924] 1988b, 180) reference to man's "perpetual Desire of meliorating his Condition." Also Hume ([1739] 1888, 491–92): "Avidity . . . of acquiring goods and possessions . . . is insatiable, perpetual, [and] universal" (cf. Hume [1777] 1998, 58). I suggest that it is the *unceasing* nature of the desire to "better their condition" that undermines the identification of "prudent man" in *The Theory of Moral Sentiments* with "frugal men" in *The Wealth of Nations*, contrary to the interpretations of D. D. Raphael and A. L. Macfie (1976, 18), Hont and Ignatieff (1983, 11), E. J. Hundert (1994, 233), Griswold (1999, 205–6), and Samuel Fleischacker (2004, 109).

44. See, for example, *WN* I.xi.c.31, 190; II.iii.7, 333; III.iv.10, 418–19; III.iv.16–17, 422; V.i.g,25, 803; V.i.g.42, 813–14; V.ii.e.6, 842. The poor are not exempt from these pressures: they must aspire to the (rising) material standard of living that "the custom of the country renders it indecent for creditable people, even of the lowest order, to be without" (*WN* V.ii.k.3, 870; V.i.h.2, 814).

45. See pages 341 and 539–41 of the *Lectures on Jurisprudence* (Smith 1978); see also pages 563–64 of the so-called Early Draft of *The Wealth of Nations* in Smith 1978.

of labor, the lack of formal education, and the "obscurity and darkness" from living in great cities, all conspired to "benumb the understandings of all the inferior ranks of people," leaving them "as stupid and ignorant as it is possible for a human creature to become," incapable "of conceiving any generous, noble, or tender sentiment, and consequently of forming any just judgement concerning many even of the ordinary duties of private life."[46] For those in the "inferior ranks," being troubled merely by anxiety would have been almost a cause for celebration.

Notwithstanding, then, the undoubted benefit of "commercial society" in providing the great mass of the people with a higher material standard of living, so contributing to their "ease of body," their prospects for "real happiness" were poor if not completely nonexistent, being undermined by the anxiety of pursuing wealth and status, and obliterated by working and living conditions.[47] "Whither the beneficent hand of Providence?," one might be tempted to ask.

On the Invisible Hand and Providence in *The Theory of Moral Sentiments*: Reconsideration

According to the argument in part 4, chapter 1, of *The Theory of Moral Sentiments*, to recall, the rich were led by an "invisible hand," and in accordance with "Providence," to "make nearly the same distribution of the necessaries of life, which would have been made, had the earth been divided into equal portions among all its inhabitants"; therefore, "without intending it, without knowing it," their "natural selfishness and rapacity" afforded means to "the multiplication of the species." But, in not abandoning "those who seemed to have been left out" from the division of the earth "among a few lordly masters," it was not only the provision of "necessaries" that Providence had in view: "In what constitutes the real happiness of human life, they [the poor] are in no respect inferior to those who would seem so

46. See *WN* I.viii.48, 101; I.xi.p.9, 266; V.i.f.50–61, 781–88; V.i.g.12, 795.

47. I can agree with Dennis C. Rasmussen (2006) that the advent of "commercial society" may have made people less miserable—or, perhaps more accurately, lessened a *particular* source of misery—by providing them with a greater degree of liberty and security (see *WN* III.iv.4, 412). As a qualification, however, wage-laborers are still required to sacrifice *some* liberty in "commercial society" (see Peach 2010); and even if this particular source of misery were removed completely, that would still leave full play to the others. I therefore cannot agree with Rasmussen that Smith's celebration of greater liberty and security in "commercial society" is a resolution of the "apparent paradox" of widespread unhappiness.

much above them. In ease of body and peace of mind, all the different ranks of life are nearly upon a level."

With "peace of mind" as by far the more important determinant of "real happiness," according to Smith, what emerges from *The Theory of Moral Sentiments*—never mind the even grimmer account in *The Wealth of Nations*—is that "all the different ranks of life are nearly upon a level" of *not* experiencing "real happiness." For, although it may be true that the *potential* for "peace of mind" exists "in all the ordinary situations of human life" (*TMS* III.3.31, 149),[48] it is a potential that for most people is neither recognized nor realized.

That reality is concealed by Smith in IV.I through his almost exclusive focus on the allegedly deceptive lure of wealth arising from our "love of system" (our fascination with "contrivances"). This may be seen as a conscious strategy: a ploy to detract from the more fundamental impact on our "tranquillity" from concern with social status, and the lack of it. As far as status goes, it hardly matters whether the constituents of material wealth are well crafted or otherwise. What really matters, as Smith effectively concedes elsewhere in *The Theory of Moral Sentiments*, is our "anxiety" to accumulate at least as much and preferably more of them than other people: it is *this* influence, which Smith evidently chose not to emphasize in IV.I, which is so corrosive of our "real happiness."

Smith was not being entirely disingenuous in claiming that "all the different ranks of life are nearly upon a level": indeed they are. But the comparison that immediately follows—"and the beggar, who suns himself by the side of the highway, possesses that security which kings are fighting for"—suggests that "real happiness" from "peace of mind" *is* enjoyed by "those who seemed to be left out," the beggar representing only an extreme case in point.

But who is this contented mendicant? He surely cannot be related to the beggar introduced in the sixth edition of *The Theory of Moral Sentiments* who, having bankrupted himself by emulating the lifestyle of the rich, "render[s] his situation still more unlike that of those whom he admires and imitates, than it had been originally" (*TMS* I.iii.3.7, 64). Nor can he be the sort of beggar who we are said to "despise" for his "importunities" (*TMS* III.3.18, 144). On the contrary, Smith's roadside beggar seems to be a rather contented character, in his own distinctive way.

48. Cf. *TMS* I.iii.1.7, 45; specifically on the "vain man's" misunderstanding of the path to real happiness, see *TMS* VI.iii.40, 257.

The peculiarity of choosing a beggar seemingly to make the point that "real happiness" is enjoyed regardless of wealth and status has been recognized by several commentators, who have variously suggested that we are dealing only with a *future* beggar (Fitzgibbons 1995, 169), that Smith had been carried away by his own rhetoric (Alvey 2003, 200, 252), that the view expressed was later abandoned by Smith (Fleischacker 2004, 108, 118), and that he had never truly believed his story to begin with (Minowitz 2004, 401, 405). The root difficulty, as all these commentators could be said to have noticed, is that a beggar is not, prima facie, a model of virtuous behavior.

But there is one beggar who would fit the bill: Diogenes of Sinope (c.412/403–c.324/321 BC), founder of the Cynic school of philosophy, who "pursued a life as close as possible to the 'natural' life of primitive man [involving] the minimum of physical possessions . . . and of sustenance (obtained from living off the land and by begging)" (Hornblower and Spawforth 2003, 474). It is inconceivable that Smith would not have been familiar with the story of Diogenes's roadside meeting with the "king"—Alexander the Great—from sources with which we know he was familiar, including Cicero, Epictetus, and Plutarch.[49] To take Plutarch's (1973, 266) account from his *Age of Alexander*:

> Alexander went in person to see him [Diogenes] and found him basking at full length in the sun. When he saw so many people approaching him, Diogenes raised himself a little on his elbow and fixed his gaze upon Alexander. The king greeted him and inquired whether he could do anything for him. "Yes," replied the philosopher, "you can stand a little to one side out of my sun." Alexander is said to have been greatly impressed by this answer and full of admiration for the hauteur and independence of mind of a man who could look down on him with such condescension. So much so that he remarked to his followers, who were laughing and mocking the philosopher as they went away, "You may say what you like, but if I were not Alexander, I would be Diogenes."[50]

49. Also Mandeville [1924] 1988a, remark O, 152.

50. According to Cicero (1971, 101) in his *Discussions at Tusculum*, "Diogenes, being a Cynic, was even more frank, when Alexander urged him to say if there was anything he needed. 'Yes,' he answered, 'stop getting between me and the sun.' And indeed Diogenes used to argue that his way of life was much superior to that of the Great King of Persia himself. For whereas nothing would ever be enough for that monarch, he himself, he pointed out, had no needs at all: consequently he never felt the lack of pleasures the king could never have enough of, while the king, on the other hand, was quite incapable of enjoying *his* pleasures." Also Epictetus (2008,

Here was a "beggar," sunning himself "by the side of the highway," who did possess the security—the security from *real* tranquillity of mind—for which Alexander fought but never achieved.[51]

Diogenes was certainly not a representative of beggars, or of the poor. He was, one might say, an extreme Stoic who had taken the "short-cut" to virtue and happiness[52] not merely by eliminating the desire for "externals" but by dispensing with them altogether.[53]

Far from there being "real happiness for all," the identification of the beggar as Diogenes tends rather to reinforce the suspicion that the main recipients of "real happiness" were likely to be the "wise and virtuous," with all the other ranks of life "nearly upon a level" of *forfeiting* their "real happiness" as they pursued the very material goals that Diogenes had so ostentatiously spurned. It is the latter position that is consistent with Smith's views more generally in *The Theory of Moral Sentiments*. Why, then, should he have allowed, or encouraged, a quite different impression in IV.I?

It was suggested above that the references to the "invisible hand" and "Providence" were part of the deistic idiom that Smith adopted in *The Theory of Moral Sentiments*. Had he curtailed the invisible hand/Providence argument at the point at which the "natural selfishness and rapacity" of the rich afforded means to "the multiplication of the species" and the "ease of body" of the poor, he would have limited the Deity's achievement mostly to "the propagation of the species," with only a very modest dispensation of "real happiness" to the masses. But that would have called into question the power of a benevolent Creator:

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163), from the *Discourses*: "A man of his [Diogenes's] mettle is not one to accuse God, who chose him, of unfairness in making him ill. He positively prides himself on his hardships and is bold enough to be a roadside attraction. What would he blame God *for*? That he cuts such an admirable figure? What would the charge be? That his virtue is too glaringly bright? Here, just remember what he says about poverty, death and pain; how he compares his happiness with that of the Great King [Alexander]. Or rather, he doesn't think there is any comparison. For where you find unrest, grief, fear, frustrated desire, failed aversion, jealousy and envy, happiness has no room for admittance."

51. For Smith's view of Alexander, a man driven to madness amid "the intoxication of prosperity," see *TMS* VI.iii.32, 254.

52. Diogenes Laertius (2007), *Lives* 7:123, p. 85.

53. The "point of shedding inessentials [externals] was to prove decisively that virtue alone, without the need of material goods, was enough to secure human happiness. [Hence] the belief . . . shared with the Stoics that virtue was man's end and a necessary and sufficient condition for his happiness" (Dobbin 2008, 268n12).

> The happiness of mankind . . . seems to have been the original purpose intended by the Author of nature [i.e., the Deity], when he brought them into existence. No other end seems worthy of that supreme wisdom and divine benignity which we necessarily ascribe to him; and this opinion, which we are led to by the abstract consideration of his infinite perfections, is still more confirmed by the examination of the works of nature, which seem all intended to promote happiness, and to guard against misery. (*TMS* III.5.7, 166)[54]

Smith had a dilemma. Having embraced a basically Stoic conception of happiness that placed the emphasis on tranquillity of mind, and having concluded that such tranquillity was *not* generally experienced by all the "different ranks," he could either make his view clear, thereby casting doubt on the "infinite perfections" and very existence of a benevolent Deity, or he could obscure his position. He chose the latter, artfully concocting a form of words that could, and would, be read as suggesting a view he could not personally endorse, leaving his reservations encoded in a recondite classical allusion.

Conclusion

On the interpretation offered here, the "complacent 'providentialism'" (Winch 1978, 92) of the invisible hand/Providence story was in large part an illusion (save for the claim about "ease of body"): an illusion created by emphasizing the deceptive "love of system" (the fascination with well-crafted contrivances) as the main spur to material acquisitiveness; by using the empty formulation that "all the different ranks of life are nearly upon a level" without specifying *which* level they are "nearly upon"; and by introducing a contented beggar who, with his identity as Diogenes the Cynic cloaked in anonymity, could be tendentiously misconstrued as a representative of the poor and lowly.

Taking *The Theory of Moral Sentiments* as a whole, "love of system" pales into insignificance compared with vanity, emulation, and the desire for social status, which stand out as the main inducements for "bettering our condition" (beyond the acquisition of "necessities") *and* the principal causes

54. Also: "It is not easy to conceive what . . . motive [other than benevolence] an independent and all-perfect Being, who stands in need of nothing external, and whose happiness is complete in himself, can act from" (*TMS* VII.ii.3.18, 305).

of the anxiety that undermines our "real happiness." The message is one of conflict between anxiety and "real happiness" for nearly all the "different ranks" in a status-conscious, materialistic society. In the end, sustained "real happiness" is enjoyed only by the "wise and virtuous," of whom "the beggar," unmasked as Diogenes, was a leading classical example.

The interpretation I have advanced would remove the apparent inconsistency between the (deceptively) "optimistic" Smith of the invisible hand/Providence story and the "pessimistic" Smith who is represented elsewhere in *The Theory of Moral Sentiments* and, to an even greater degree, in *The Wealth of Nations*. It removes the inconsistency by suggesting that the "optimistic deism" of part 4, chapter 1, of *The Theory of Moral Sentiments* was a sham, involving a deliberate attempt by Smith to "conceal"[55] his true position that "real happiness" is most definitely *not* dispensed providentially to all and sundry.

Taking Smith's position more generally, it does seem difficult to reconcile a belief in a Deity whose "original purpose" included "the happiness of mankind"—the happiness of mankind in *this* life—with the portrait of a society in which most people are racked by anxiety and misery. As "Cleanthes" was to concede in David Hume's ([1779] 1998, 101) *Dialogues*, "If you can . . . prove mankind to be unhappy or corrupted, there is an end at once to all religion. For to what purpose establish the natural attributes of the Deity, when all the moral are still doubtful and uncertain?"[56] In *The Theory of Moral Sentiments* Smith had effectively "proved" the majority of mankind to be unhappy and corrupted,[57] and the account in *The Wealth of Nations* is even more melancholic. At a stretch, perhaps, it might be argued that such doleful outcomes are consistent with the

55. He would have regarded concealment as a lesser moral offense than deception: "If to conceal is . . . disagreeable, to attempt to deceive . . . is still more disgusting" (*TMS* VII.iv, 338n).

56. Hume's Cleanthes resembled Smith in several respects: in conceiving the world as "one great machine, subdivided into an infinite number of lesser machines" (Hume [1779] 1998, 45); in deploying the "design argument," or argument "a posteriori," *apparently* as evidence of the Deity's workmanship; in *professing* assent to the doctrine of the "oeconomy of final causes" (46–47); and in suggesting the possible value of religion in offering consolation and in regulating "the hearts of men" (122). These similarities could not have failed to escape Smith's notice, along with Hume's exposure of the Achilles' heel in Cleanthes's and Smith's own (undisguised) position on the subject of "happiness." Perhaps this was why Smith was "resolved, *for many reasons*, to have no concern in the publication of those dialogues" (letter to William Strahan, September 5, 1776 [Smith 1977, 211; my italics]).

57. "Corrupted" in our moral sentiments from a "disposition to admire the rich and the great, and to despise or neglect persons of poor and mean condition" (title of *TMS* I.ii.3, added in the sixth edition).

notion of a benevolent Deity if the "happiest" possible outcome *requires* the unhappiness of the majority. But, if that had been Smith's own understanding of the machinations of an "all-perfect Being," it becomes difficult to fathom why he should have placed a disingenuously optimistic gloss on the invisible hand/Providence story. Why not just celebrate the Deity's achievement in providing for "self-preservation" and "the propagation of the species" and leave it at that?

While allowing that other inferences may be possible, my own is that Smith was merely feigning an attachment to optimistic deism and, by extension, to a belief in *any* "all-perfect Being." For if he thought it was inconceivable that such a Being could be motivated by anything other than benevolence, a Being whose "original purpose" included "the happiness of mankind,"[58] and if he believed that the reality was one of almost universal unhappiness, it seems plausible to infer that he could not conceive of the existence of the Being (unless he subscribed to a theodicy which he did not care to disclose).[59] Why, then, should he have pretended otherwise?

One rather obvious answer is that he had an understandably prudent wish to avoid the wrathful disapprobation of zealous religious spectators. Admittedly, a close textual analysis of *The Theory of Moral Sentiments* could have raised eyebrows over Smith's commitment to optimistic deism (or to deism of any description) but, on the principle that some readers will see only what they want to, those of a pious disposition could find much in *The Theory of Moral Sentiments* that would please them, and the Providence/invisible hand story was, as it were, a particularly juicy bone to throw to the "Retainers to Superstition."[60] In addition, Smith apparently

58. See the quotation given in footnote 54.

59. Such skepticism may have been prompted by personal experience. Smith was born a few months after the death of his father. Dugald Stewart ([1793] 1980, 269) remarked that Smith's mother "was blamed for treating him [her son] with an unlimited indulgence," adding that this treatment "produced no unfavourable effects on his temper or his dispositions." But Stewart's sanguine assessment is questionable. In *The Theory of Moral Sentiments* Smith wrote with evident passion about "regret" for the "too tender mother" whose "extreme humanity" is "unfit for the world, because the world is unworthy of it" and which "must expose the person who is endowed with it as a prey to the perfidy and ingratitude of insinuating falsehood, and to a thousand pains and uneasiness" (II.ii.3, 40); also, "the justice of God . . . we think . . . requires, that he should hereafter avenge the injuries of the widow and the fatherless, who are here so often insulted with impunity" (II.ii.3.12, 91). These statements could be read as having direct self-referential content; if indeed they related to Smith's bitter childhood experiences, it would not come as a shock to find him doubting the infinite benevolence and existence of a Creator.

60. The quotation comes from Hume's letter to Smith of April 12, 1759: "I proceed to tell you the Melancholy news, that your Book [*The Theory of Moral Sentiments*] has been very unfortunate: For the Public seem disposed to applaud it extremely. . . . Three Bishops called

reckoned that by connecting his own "theory of moral sentiments" with "a system of behaviour which tends to promote the happiness either of the individual or of the society"—with the system of a benevolent Deity—it would "derive a beauty from this utility, not unlike that which we ascribe to any well-contrived machine" (*TMS* VII.iii.3.16, 326).[61] It therefore seems possible that the entire deistic apparatus, including the invisible hand/Providence argument, was introduced purely for the sake of prudential, aesthetic, and rhetorical advantage.[62]

In conclusion, I submit that Smith's commitment to optimistic deism must be regarded as deeply suspect and more probably nonexistent, and that as far as "real happiness" is concerned his position was one of pessimism (or, depending on taste, realism) of almost Cynic proportions, albeit a pessimism partially obscured, with delicious Smithian irony, by a veiled reference to the greatest Cynic of them all.

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yesterday at Millar's Shop in order to buy Copies, and to ask Questions about the Author: The Bishop of Peterborough said he had passd the Evening in a Company, where he heard it extolld above all Books in the World. You may conclude what Opinion true Philosophers will entertain of it, when these Retainers to Superstition praise it so highly" (Smith 1977, 35).

61. In adopting this approach Smith was following the methodology of Francis Hutcheson. See Leechman 1755, xiv–xv.

62. As highlighted in the interpretations given by J. Ralph Lindgren (1973, 148), Griswold (1999, 333), Emma Rothschild (2001, 133), and Gavin Kennedy (2005, 66). A further and potentially overlapping possibility canvassed by Alvey (2003, 264) is that Smith was merely following the intellectual fashion in mid-eighteenth century Scotland. No doubt other possibilities could be added to the list.

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